

INFLATION

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THE ROAD TOWARDS 2% INFLATION

Annualized PCE inflation through the year in May 2026:

- ▶ Headline: 5.6%
- ▶ Ex Energy Goods: 4.1%
- ▶ Core: 4.2%

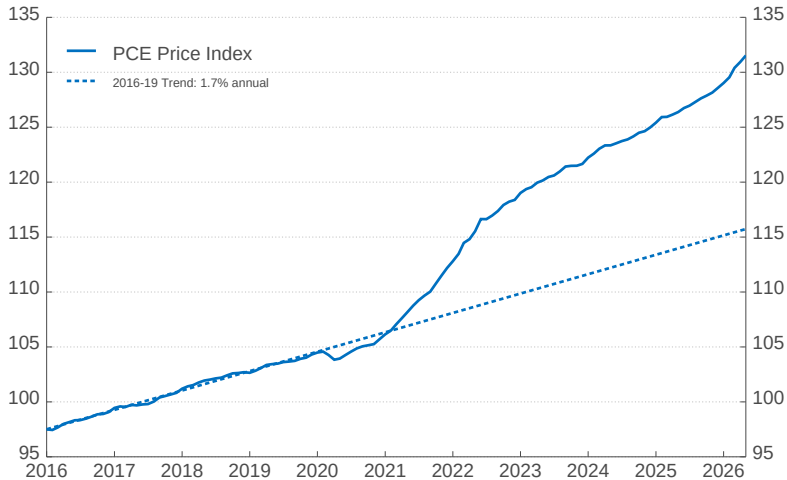
PCE inflation ex energy goods, regime trends:

- ▶ 2012-20: 1.5%
- ▶ 2021-22: 5.7%
- ▶ 2023-26: 2.8%

Prices and Inflation

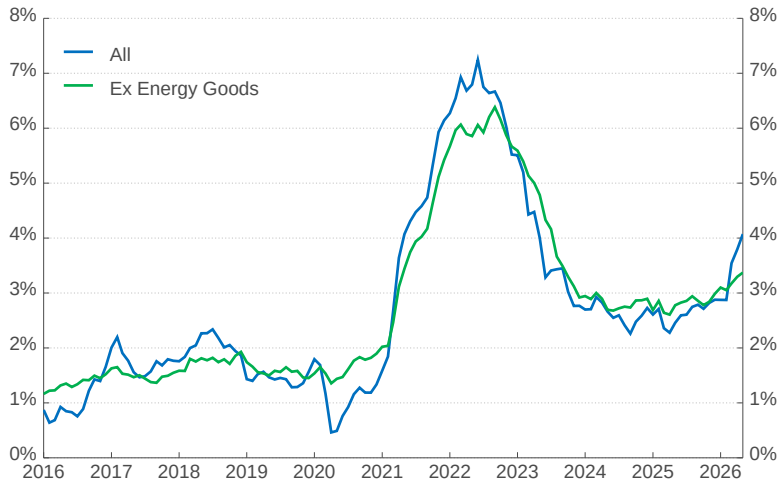
PRICE LEVEL

PRICES DECLINE EARLY IN THE PANDEMIC AND RISE PERSISTENTLY ABOVE THEIR TREND AFTERWARDS



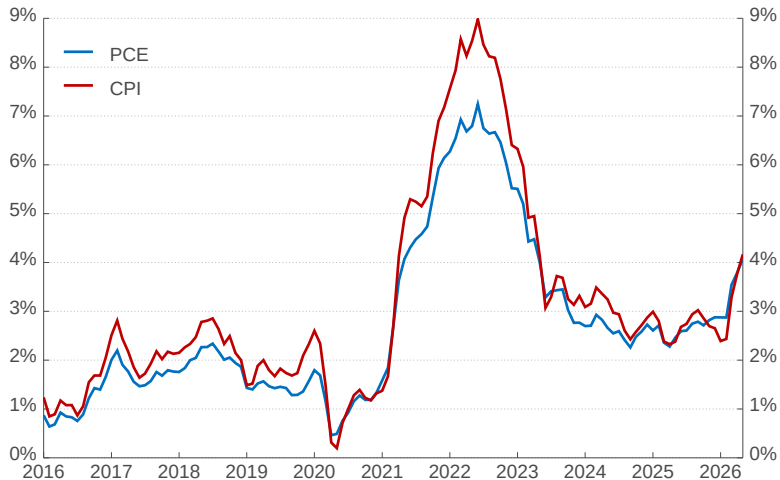
INFLATION

INFLATION HAS REMAINED ABOVE 2% SINCE MARCH 2021—DYNAMICS AMPLIFIED BY ENERGY ▷ HISTORICAL SERIES



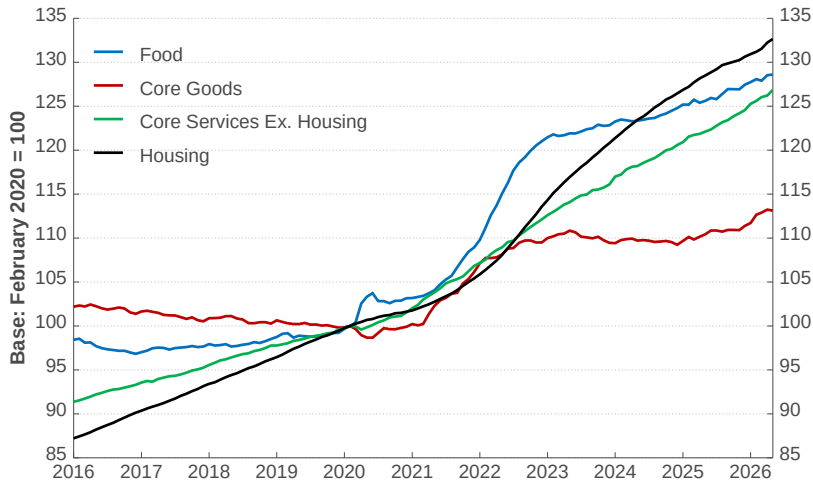
COMPARING DYNAMICS IN PCE AND CPI

▷ EXCLUDING ENERGY



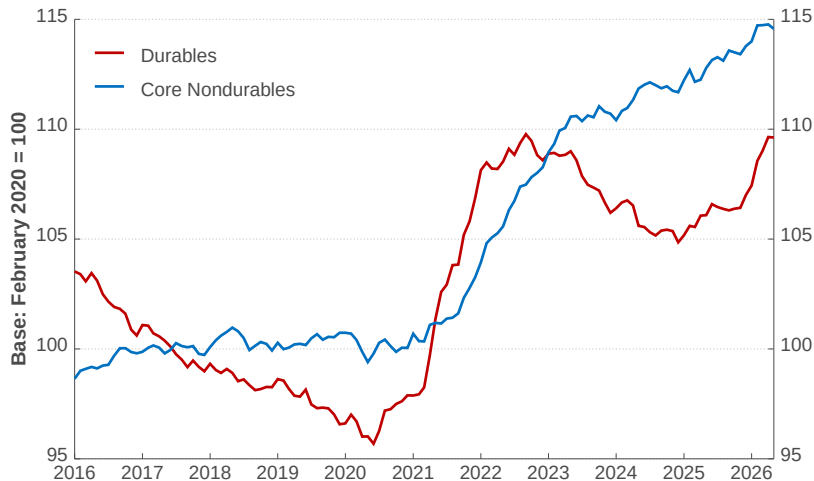
COMPONENTS OF PCE PRICE INDEX

FOOD, CORE GOODS, CORE SERVICES EX. HOUSING, AND HOUSING



CORE GOODS: DURABLES VS. NONDURABLES

EFFECT OF TARIFFS EVIDENT ON PRICES OF CORE DURABLE GOODS—CORE NONDURABLES GROWING STEADILY



INFLATION: AGGREGATE MEASURES

▷ CPI

Annualized PCE Inflation Rates

	All Goods & Services	Ex Energy Goods	Excluding Food & Energy (Core)
2016–19	1.7%	1.6%	1.7%
2020	1.3%	1.9%	1.5%
2021	6.1%	5.4%	5.2%
2022	5.5%	5.7%	5.0%
2023	2.8%	2.9%	3.1%
2024	2.7%	2.9%	3.0%
2025	2.9%	3.0%	3.0%
2026 YTD	5.6%	4.1%	4.2%

SOURCES: Bureau of Economic Analysis and author's calculations.

NOTE: The 2026 period is the year through May.

INFLATION: MAIN COMPONENTS

▷ CPI

Annualized PCE Inflation Rates by Categories

	Food	Energy	Core Goods	Core Services ex. Housing	Housing
2016–19	0.2%	4.2%	−0.6%	2.2%	3.4%
2020	4.0%	−7.5%	0.1%	2.0%	2.2%
2021	5.6%	30.3%	6.2%	5.2%	3.7%
2022	11.1%	6.7%	3.2%	4.9%	7.8%
2023	1.5%	−2.1%	0.0%	3.5%	6.4%
2024	1.6%	−1.0%	−0.2%	3.9%	4.7%
2025	2.1%	2.2%	2.0%	3.3%	3.3%
2026 YTD	2.2%	53.0%	3.8%	4.5%	3.7%

SOURCES: Bureau of Economic Analysis and author's calculations.

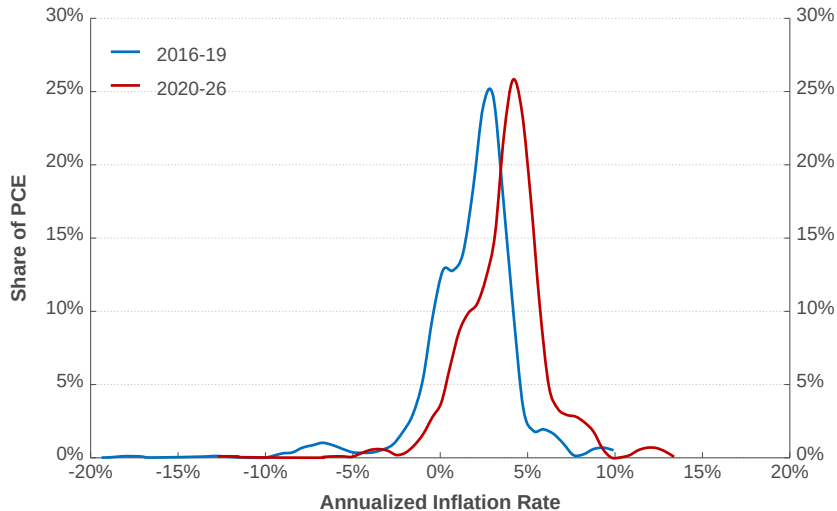
NOTE: The 2026 period is the year through May.

Inflation Distributions

INFLATION INCREASES HAVE BEEN WIDESPREAD

► METHODOLOGY

ESTIMATED DISTRIBUTION OF PCE INFLATION ► CORE



INFLATION DISTRIBUTIONS: PROGRESSION FROM 2016-19 TO 2026

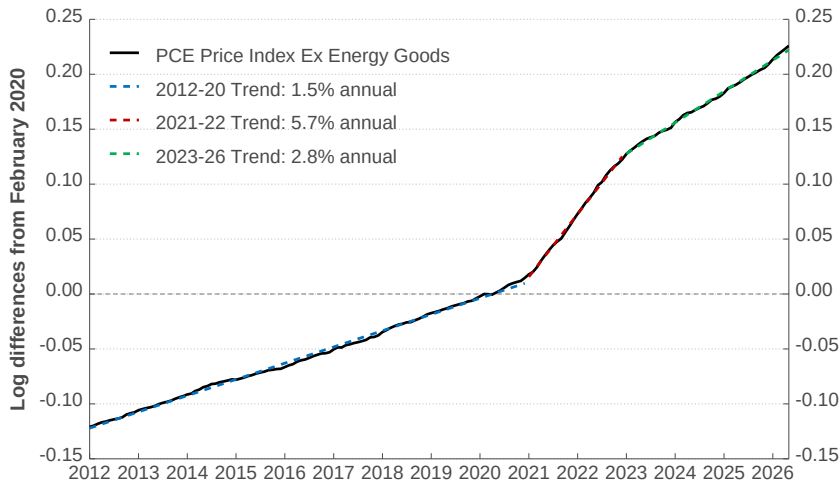
ESTIMATED DISTRIBUTION OF PCE INFLATION

Inflation Regimes

PRICE LEVEL DYNAMICS: THREE REGIMES

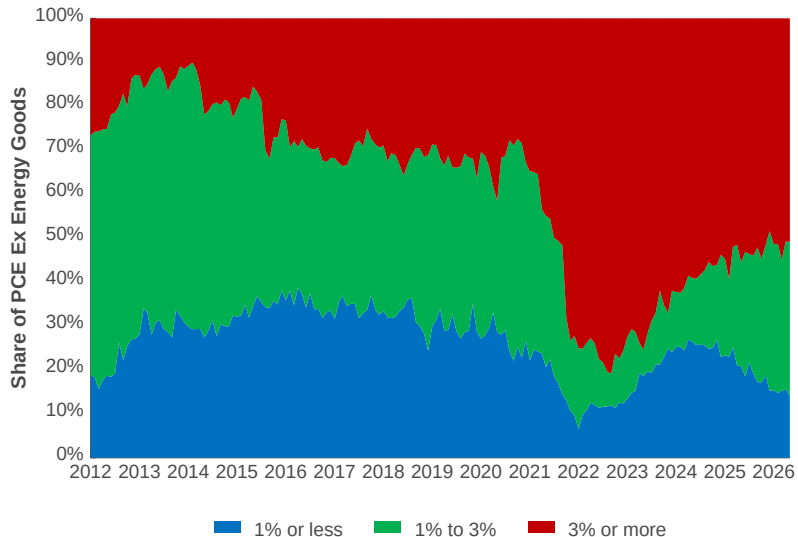
[► BLOG](#)

(1) BELOW-TARGET INFLATION: 2012-20 (2) GREAT INFLATION: 2021-22 (3) ABOVE-TARGET INFLATION: 2023-26



EXPENDITURE SHARES BY INFLATION RATES

LARGE SHARE OF CONSUMPTION EXPENDITURES ON PRODUCTS WITH INFLATION RATES OF 3% OR MORE



LONG-TERM INFLATION EXPECTATIONS

MARKETS VS. MODELS VS. FORECASTERS

10-Year Inflation Expectations — Period Averages

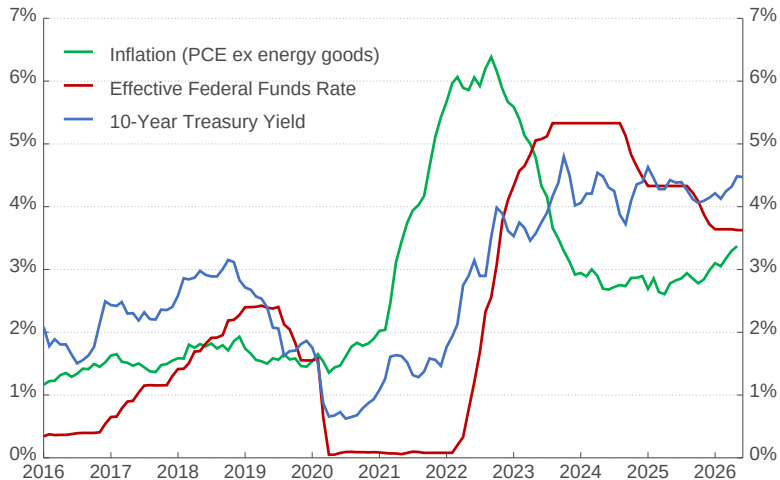
	TIPS	Swaps	Cleveland	DKW	SPF
2012–20	1.9%	2.2%	1.7%	2.2%	2.0%
2021–22	2.4%	2.7%	1.9%	2.2%	2.3%
2023–26	2.3%	2.5%	2.3%	2.6%	2.2%
Change 2012-20 to 2023-26	0.4%	0.3%	0.6%	0.4%	0.1%

SOURCES: FRED, Federal Reserve Board, Federal Reserve Bank of Philadelphia, Bloomberg and author's calculations.

Interest Rates

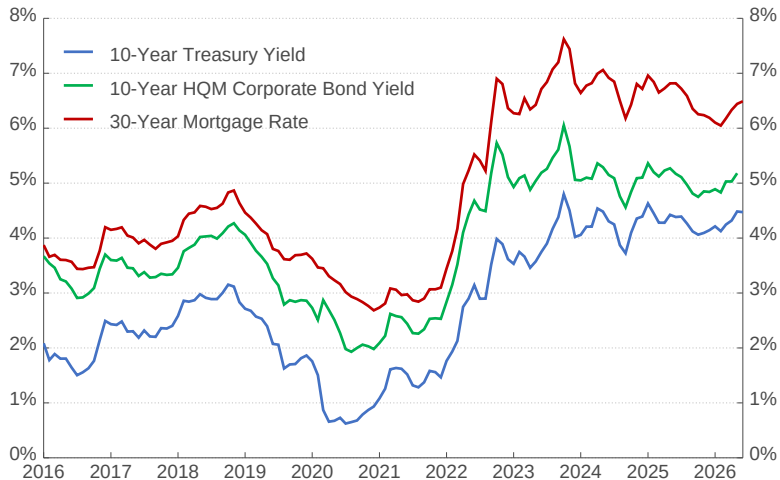
MONETARY POLICY

EASING CYCLES IN SEPTEMBER-DECEMBER 2024 AND SEPTEMBER-DECEMBER 2025



MONETARY POLICY AND LONG-TERM RATES

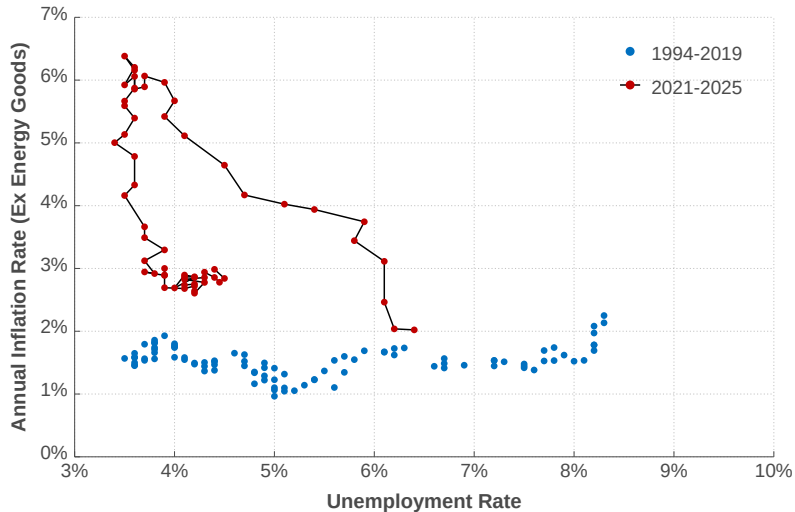
ANNUAL RATES



Phillips Curve

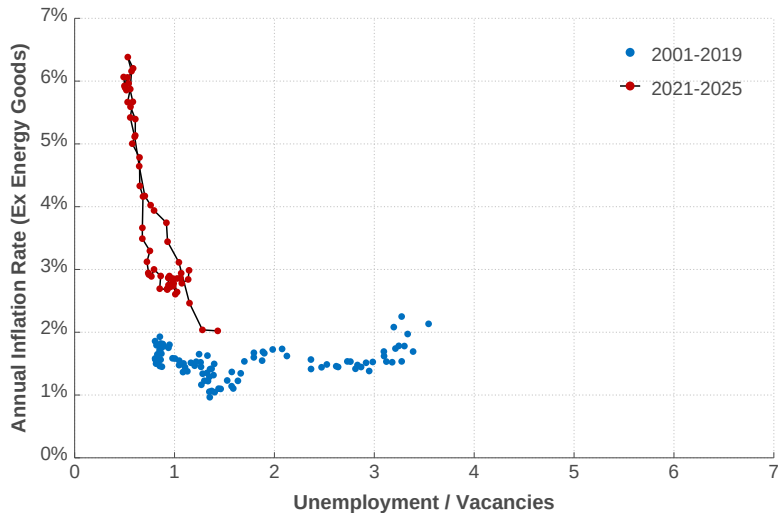
THE PHILLIPS CURVE

INFLATION VS. UNEMPLOYMENT



ALTERNATIVE PHILLIPS CURVE

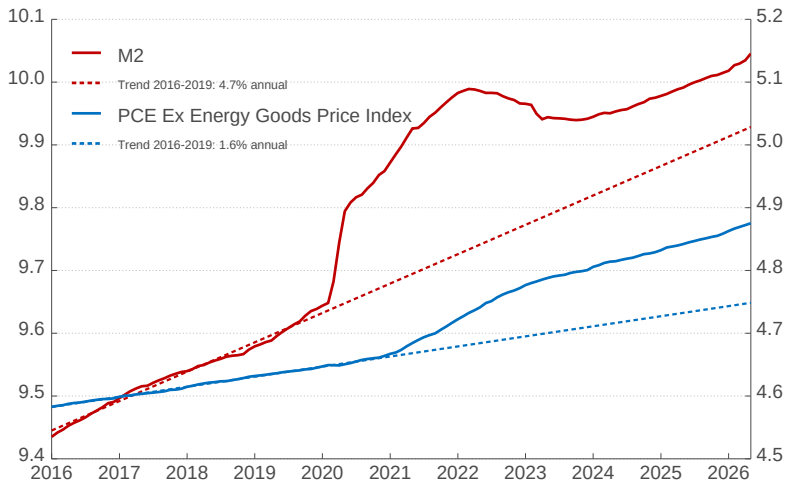
INFLATION VS. UNEMPLOYMENT-TO-VACANCIES RATIO



$$\mathbf{M} \times \mathbf{V} = \mathbf{P} \times \mathbf{Y}$$

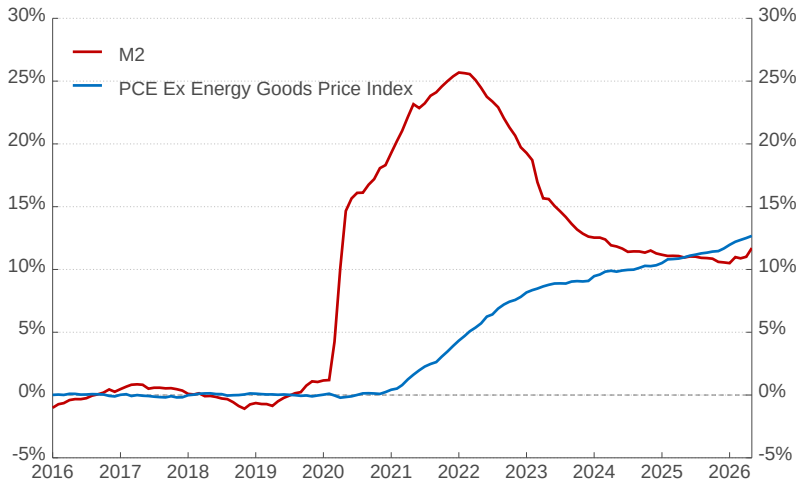
MONEY VS PRICES: MONETARY EXPANSION DURING COVID

IN LOGS: M2 ON LEFT AXIS, PRICES ON RIGHT AXIS—M2 GREW AT SAME RATE AS DISPOSABLE INCOME PRE-COVID



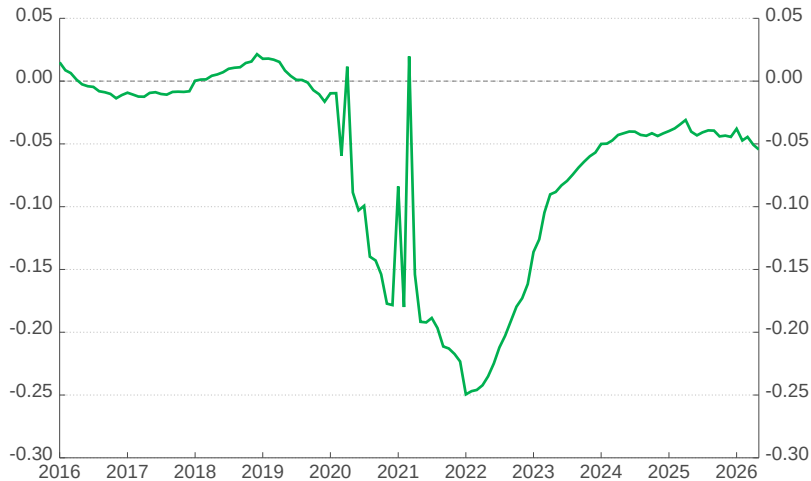
PRICE INCREASE VS. MONETARY EXPANSION

DEVIATIONS FROM PRE-COVID TREND



VELOCITY

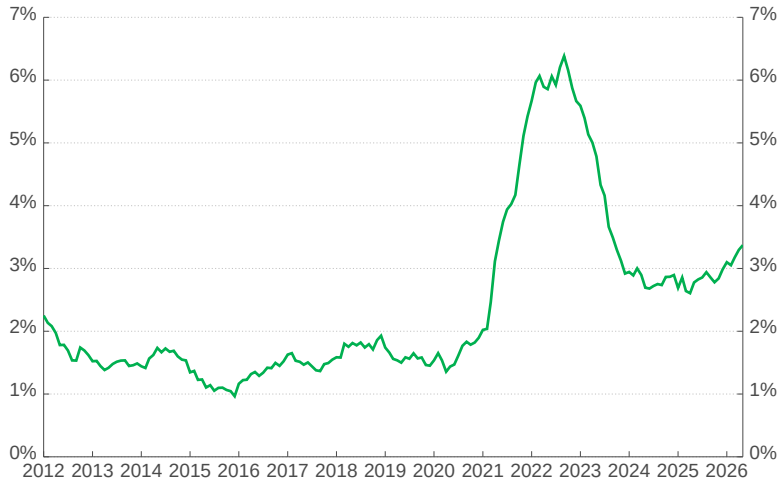
$\text{LN VELOCITY} = \text{LN M2} - \text{LN DISPOSABLE PERSONAL INCOME}$ (BASE: 2016-19 = 0)



Appendix

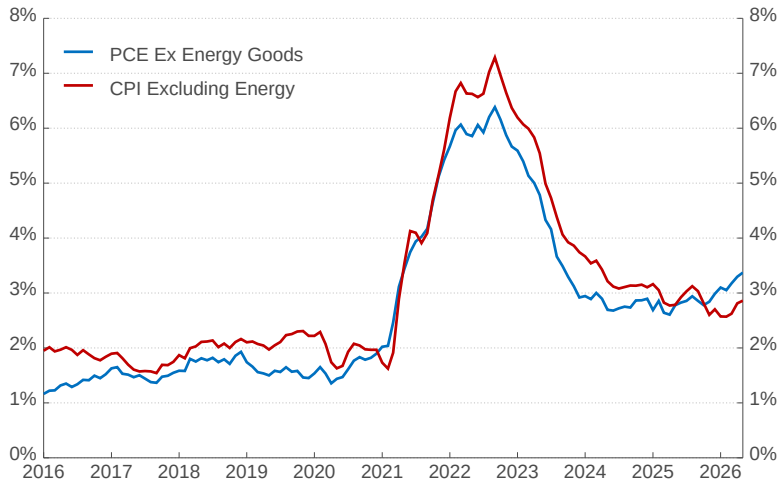
CURRENT INFLATION IN HISTORICAL CONTEXT

PCE EX ENERGY GOODS ANNUAL INFLATION [▷ BACK](#)



PCE EX ENERGY GOODS AND CPI EXCLUDING ENERGY

▷ [BACK](#)



CPI INFLATION AGGREGATES

▷ [BACK](#)

Annualized CPI Inflation Rates

	All Goods & Services	Excluding Energy	Excluding Food & Energy (Core)
2016–19	2.1%	2.0%	2.1%
2020	1.3%	2.0%	1.6%
2021	7.2%	5.6%	5.5%
2022	6.4%	6.4%	5.7%
2023	3.3%	3.7%	3.9%
2024	2.9%	3.1%	3.2%
2025	2.7%	2.7%	2.6%
2026 YTD	6.0%	3.1%	3.1%

SOURCES: U.S. Bureau of Labor Statistics and author's calculations.

NOTE: The 2026 period is the year through May.

CPI INFLATION COMPONENTS

▷ [BACK](#)

Annualized CPI Inflation Rates by Categories

	Food	Energy	Core Commodities	Services Less Rent	Rent of Shelter
2016–19	1.2%	3.9%	−0.2%	2.2%	3.3%
2020	3.9%	−7.0%	1.6%	1.4%	1.9%
2021	6.0%	30.3%	10.7%	3.9%	4.2%
2022	10.1%	6.9%	2.1%	7.5%	7.6%
2023	2.7%	−1.9%	0.1%	3.5%	6.2%
2024	2.4%	−0.3%	−0.7%	4.0%	4.6%
2025	3.0%	2.1%	1.4%	3.4%	3.1%
2026 YTD	2.9%	50.5%	0.4%	4.6%	4.0%

SOURCES: U.S. Bureau of Labor Statistics and author's calculations.

NOTE: The 2026 period is the year through May.

CORE INFLATION INCREASES HAVE BEEN WIDESPREAD

ESTIMATED DISTRIBUTION OF CORE PCE INFLATION [▷ BACK](#)

